Prompt: Kenya's Eurobond Refinancing Dilemma

Task Prompt

It is November 3, 2025. Kenya's National Treasury is weighing whether to issue a new Eurobond in early Q1 2026 to refinance part of the $2 billion Eurobond maturing in June 2027. The Treasury is under pressure to secure external funding before U.S. interest rates peak, but global investors remain cautious toward African sovereigns after Ghana's and Ethiopia's debt restructurings. Local yields have also risen sharply amid tightening liquidity and a depreciating shilling.

You have been asked to recommend whether Kenya should issue now, wait until mid-2026, or seek an alternative financing mix (including concessional loans or syndicated facilities). Your assessment should balance market timing, refinancing risk, debt sustainability, and investor sentiment as of November 3, 2025.

1. Map Kenya's external debt maturities through end-2027 and identify refinancing needs.
2. Assess foreign reserve adequacy relative to short-term external obligations and import coverage.
3. Evaluate market access conditions, including Eurobond spreads, CDS trends, and recent African sovereign issuances.
4. Compare Kenya's options against two peers: Côte d'Ivoire and Egypt, analyzing pricing differentials and issuance outcomes.
5. Consider how recent monetary policy decisions, IMF program reviews, and exchange rate dynamics influence the issuance strategy.

6. Identify threshold indicators (e.g., spread levels, reserve ratios, or FX volatility) that would justify delaying, resizing, or restructuring the Eurobond transaction.

The expected output is a structured policy memorandum in markdown with the following sections: 1. Executive Summary (≤150 words). 2. Analytical Table with columns ("Indicator," "Current Value," "Peer Comparison," "Implication for Kenya"). 3. Analytical Narrative (≤400 words) addressing the six points above with data-backed reasoning. 4. Concluding Recommendation (≤100 words) explicitly stating whether to issue, defer, or restructure.

Take note of the following constraints 1. All reasoning must be numerically consistent and cited using APA 6th edition (post-2020 sources only). 2. Any recommendation that violates reserve adequacy logic or CDS spread–risk correlation results in zero credit. 3. Exchange rate data must reflect Kenyan shilling (KES/USD) trends over 2024–2025. 4. The total debt service coverage ratio must be explicitly quantified.